



DEPARTMENT OF
INDUSTRIAL ENGINEERING & MANAGEMENT
FINANCIAL ACCOUNTING & COSTING
Question Bank with Model Answers

Course Title	Financial Accounting & Costing	Course Code	IM254TA
Semester	V	Units Covered	Unit I and Unit II
Compiled From	CIE and SEE papers, 2024–2026	Questions	Part A: 17 Part B: 26

Notes:

- Questions are compiled from the CIE and SEE question papers of 2024–2026. The unit and the source paper are shown below each question.
- Part A contains fill-in-the-blank and short-answer questions. Part B contains descriptive and numerical questions (4 to 12 marks).
- Model answers are written to the depth expected for the marks allotted. Numerical answers show the complete working, and the final result is stated after **Answer:**.
- Where a question repeats an earlier one, the answer refers to the earlier question (the reference is a link).
- M: Marks; BT: Bloom's Taxonomy level; CO: Course Outcome. All amounts are in rupees (₹). Journal narrations are written in brackets below each entry.

Sl. No.	Questions	M	BT	CO
PART – A				

1	State the primary objective of financial accounting. Source: Unit I CIE-I, 07/11/2025	01	1	1
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The primary objective of financial accounting is to maintain a systematic record of financial transactions and to ascertain the **financial performance** (profit or loss, through the Income Statement) and the **financial position** (through the Balance Sheet) of the enterprise, and to communicate this information to its users.

2	Define GAAP and mention its importance. Source: Unit I SEE Feb/Mar 2025, Q1.1	02	2	1
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Generally Accepted Accounting Principles (GAAP) are the rules of action or conduct derived from experience and practice which, when they prove useful, become accepted as principles of accounting; principles with substantial authoritative support become part of GAAP.

Importance: they bring uniformity and consistency in recording and reporting, make financial statements of different periods and firms comparable, make the statements reliable and acceptable to investors, lenders and tax authorities, and reduce bias in the preparation of accounts.

3	List two qualitative characteristics of accounting information. Source: Unit I SEE Feb/Mar 2026, Q1.1	02	1	1
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- **Relevance:** the information is useful for and capable of influencing the economic decisions of users.
- **Reliability (faithful representation):** the information is free from material error and bias and can be depended upon.
- (Other characteristics: understandability and comparability.)

4	Comment on the Matching Concept with the help of an example. Source: Unit I SEE Feb/Mar 2026, Q1.2	02	1	1
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According to the matching concept, the expenses incurred in an accounting period should be matched with the revenues recognised in that period. **Example:** if goods costing ₹60,000 are sold in March for ₹1,00,000 and the salesman's commission of ₹5,000 is paid in April, the commission is still charged to March (as outstanding expense), so that the profit of March is ₹35,000.

5	In the era of many startups trying to be unicorns, comment on the "Conservatism/Prudence concept" and its importance, which has helped traditional businesses prevail in the long run. Source: Unit I CIE-I, 07/11/2025	02	2	2
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The prudence (conservatism) principle says "anticipate no profit but provide for all probable losses": under uncertainty, profits and assets are not overstated and losses and liabilities are not understated (e.g. stock at lower of cost or net realisable value, provision for doubtful debts). Startups chasing high valuations often book optimistic revenues and ignore probable losses; traditional businesses that followed prudence built hidden strength, kept realistic profits, avoided paying dividends out of unrealised gains and so survived downturns.

6	State any two advantages of adopting IFRS for Indian engineering firms with global operations. Source: Unit I CIE-I, 07/11/2025	02	2	3
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- **Global comparability and access to capital:** financial statements prepared under IFRS are understood by foreign investors and lenders, helping the firm raise funds abroad (ADRs, GDRs, ECBs).
- **Easier consolidation and reporting:** subsidiaries in different countries follow one set of standards, reducing the cost of preparing multiple sets of accounts and simplifying audits and cross-border contracts.

7	Mention the accounting equation and showcase your understanding of it with an example. (What is the basic accounting equation represented in a Balance Sheet?) Source: Unit I CIE-I, 26/11/2024; CIE-I, 07/11/2025; CIE-II, 08/01/2025	02	2	2
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$$\text{Assets} = \text{Capital} + \text{Liabilities} \quad (\text{or } \text{Capital} = \text{Assets} - \text{Liabilities})$$

It is a statement of equality between the resources (assets) and the sources that finance them (owner's capital and outsiders' liabilities); the Balance Sheet is this equation in statement form. **Example:** Ram starts business with cash ₹50,000 and takes a loan of ₹20,000: Assets (cash ₹70,000) = Capital (₹50,000) + Liabilities (₹20,000). If he then buys goods on credit for ₹10,000: Assets ₹80,000 = Capital ₹50,000 + Liabilities ₹30,000; the equation always balances.

8	Differentiate between assets and liabilities. Source: Unit I SEE Feb/Mar 2025, Q1.2	02	2	1
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Basis	Assets	Liabilities
Meaning	Resources controlled by the enterprise from which future economic benefits are expected.	Financial obligations of the enterprise to outsiders (other than owner's funds).
Side of Balance Sheet	Right-hand (assets) side	Left-hand (liabilities) side
Normal balance	Debit balance	Credit balance
Examples	Land, machinery, stock, debtors, cash	Creditors, bills payable, loans, bank overdraft

9	What is the difference between current and non-current assets? Source: Unit I CIE-II, 08/01/2025	02	1	CO1
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Current assets are held as cash or for conversion into cash or consumption in production normally within 12 months of the Balance Sheet date (cash, bank, debtors, bills receivable, stock). **Non-current (fixed) assets** are held for use in producing goods or services over more than one year and not for resale (land and building, plant and machinery, furniture, patents, goodwill).

10	List the main financial statements prepared in financial accounting. Source: Unit I CIE-I, 26/11/2024	02	1	1
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- (1) Trading and Profit & Loss Account (Income Statement): shows the financial performance for the accounting period.
- (2) Balance Sheet (Position Statement): shows the financial position at a particular date.
- (3) Cash Flow Statement (and, in practice, the Value Added Statement and Notes to Accounts).

11	Write a note on double-entry bookkeeping. Source: Unit II CIE-I, 26/11/2024	02	2	1
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Double entry system of book-keeping records **both aspects** (debit and credit) of every transaction in the accounts involved, because every transaction has a two-fold (dual) aspect. Every debit has an equal credit, so the total of all debits equals the total of all credits. It ensures arithmetical accuracy through the trial balance and allows the preparation of the Income Statement and Balance Sheet.

12	The process of recording a transaction is called _____. Source: Unit II CIE-I, 07/11/2025	01	2	2
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Answer: journalising

13	Depict the journal format in accounting. Source: Unit II CIE-I, 26/11/2024	02	1	1
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Date	Particulars	L.F.	Debit (₹)	Credit (₹)
2024 Jan 1	Cash A/c Dr.		50,000	
	To Capital A/c			50,000
	(Being business started with cash)			

Date column: date of the transaction; Particulars: account debited (with "Dr."), account credited (prefixed "To") and the narration; L.F.: ledger folio filled in at the time of posting; Debit and Credit amount columns.

14	Identify the books which are termed as the “First book of accounting” and the “Principal book of accounting”. Source: Unit II CIE-I, 07/11/2025	02	2	1
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The **Journal** is the first book of accounting (book of original or prime entry), because every transaction is first recorded in it in chronological order. The **Ledger** is the principal book of accounting (book of final entry), because all accounts are kept in it and the final accounts are prepared from it.

15	Why does the single-entry system make it difficult to detect fraud? Source: Unit II SEE Feb/Mar 2026, Q1.3	02	1	2
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In the single-entry system only one aspect of some transactions is recorded (mainly cash and personal accounts); real and nominal accounts are not kept. Because there is no double entry, a trial balance cannot be prepared to check arithmetical accuracy, and there is no complete record of assets, expenses and incomes to cross-check against. Errors, omissions, misappropriation of cash or goods and fraud therefore remain undetected.

16	Record the transaction “Cash received from Rohan ₹ 5,000” in a journal entry. Source: Unit II SEE Feb/Mar 2026, Q1.4	02	2	3
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Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
	Cash A/c Dr.		5,000	
	To Rohan's A/c			5,000
	(Being cash received from Rohan)			

Cash is a real account (debit what comes in); Rohan is a personal account (credit the giver).

17	What is a Trial Balance, and why is it prepared? Source: Unit II CIE-I, 26/11/2024; CIE-II, 08/01/2025; SEE Feb/Mar 2025, Q1.4	02	2	2
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A **Trial Balance** is a statement (list) of the debit and credit balances of all ledger accounts prepared on a particular date, to verify that the total of debit balances equals the total of credit balances. **Why prepared:** to check the arithmetical accuracy of journalising, posting and balancing; to locate errors; to provide a summary of ledger balances from which the Trading and P&L Account and Balance Sheet are prepared.

Sl. No.	Questions	M	BT	CO
PART – B				
1	Explain the objectives of Financial Accounting and its significance in business decision-making. Source: Unit I SEE Feb/Mar 2025, Q2a	10	2	1

Objectives of financial accounting

- (1) **To maintain systematic accounting records:** written records of financial transactions, assets and liabilities replace human memory and serve as evidence.
- (2) **To ascertain the financial performance:** the Income Statement (Trading and Profit & Loss Account) matches the revenues of the period with its costs to find the profit or loss.
- (3) **To ascertain the financial position:** the Balance Sheet shows the resources (assets) owned and the sources that finance them (capital and liabilities).
- (4) **To communicate the information to users:** internal users (top, middle and lower management) through reports, and external users (banks, creditors, investors, government) through financial statements.
- (5) **To facilitate rational decision-making and to protect business assets,** and to comply with legal requirements (Companies Act, Income Tax Act).

Significance in business decision-making

- **Management** uses accounting information on short-term and long-term solvency, utilisation of resources and profitability to plan, control and decide future courses of action (e.g. a projected cash flow statement shows anticipated surplus or shortage of funds).
- **Comparative study:** actual figures are compared with budgets, with earlier periods (intra-firm), with other firms (inter-firm) and with the industry, which highlights areas for corrective action.
- **Investors** decide whether to buy, hold or sell shares; **lenders and creditors** decide whether to extend credit; **employees** judge the stability of the employer; **government** uses the data for taxation and policy.
- **Pricing, make-or-buy, expansion and investment decisions** depend on the cost and profit information that accounts provide.
- **Raising loans and valuing the business:** historical and projected statements support loan applications and the valuation of the business on transfer.

2	Explain the steps involved in the accounting cycle and discuss their significance in ensuring accurate financial reporting. Source: Unit I CIE-I, 26/11/2024	10	3	1
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An accounting cycle is the complete sequence of steps beginning with the recording of transactions and ending with the preparation of the final accounts, repeated every accounting period.

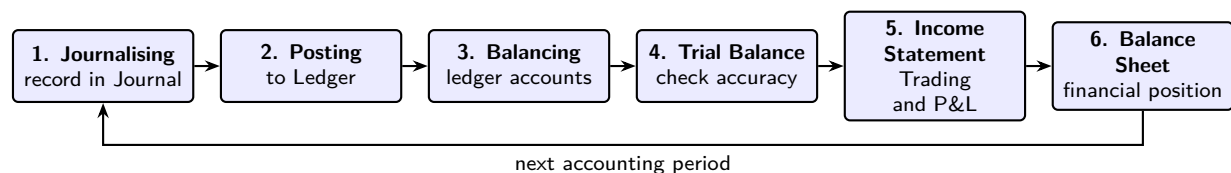


Figure 1: Steps in the accounting cycle

- (1) **Identifying and measuring transactions:** business transactions are identified from source documents (vouchers, invoices) and measured in money.
- (2) **Journalising:** each transaction is recorded in the Journal (book of original entry) in chronological order, with debit and credit and a narration. **Significance:** complete, dated record of every transaction under the double entry system.
- (3) **Posting:** transactions recorded in the Journal are transferred to the respective accounts in the Ledger. **Significance:** classifies transactions of a similar type at one place.
- (4) **Balancing:** the difference between the debit and credit totals of each ledger account is ascertained. **Significance:** shows the net effect of all transactions on each account.

- (5) **Trial Balance:** a list of the balances of all accounts is prepared to verify that total debits equal total credits.
Significance: checks arithmetical accuracy and detects errors before the final accounts are prepared.
- (6) **Income Statement:** the Trading and Profit & Loss Account is prepared to ascertain the profit or loss for the period.
Significance: measures financial performance.
- (7) **Position Statement (Balance Sheet):** prepared to ascertain the financial position at the end of the period.
Significance: shows assets, liabilities and capital.

Following every step in sequence ensures that every transaction is recorded once, correctly classified, checked for accuracy and finally summarised, which makes financial reporting accurate, complete and reliable.

3	Critically evaluate the role of accounting in promoting corporate transparency and ethical governance with an example. Source: Unit I SEE Feb/Mar 2026, Q2a	10	4	5
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Accounting is the language of business: it identifies, measures, records and communicates economic information to users. Its role in transparency and ethical governance is as follows:

Role in promoting transparency and governance

- (1) **Full disclosure:** financial statements must convey, not conceal; all material information (notes to accounts, contingent liabilities, related-party transactions) is disclosed so that stakeholders can judge the company.
- (2) **Accountability of management:** the Income Statement and Balance Sheet show how the resources entrusted by shareholders and lenders have been used; the board reports to shareholders on this basis.
- (3) **Standardisation:** GAAP, Accounting Standards and IFRS ensure uniform, comparable and consistent reporting, which limits creative accounting.
- (4) **Audit trail and internal control:** the double entry system, vouchers and ledgers create records that auditors and regulators can verify; this deters fraud and misappropriation.
- (5) **Information for regulators and the public:** tax authorities, SEBI and the public rely on published accounts; transparent accounts build investor confidence and lower the cost of capital.

Critical evaluation (limitations)

- **Window dressing:** management may enter wrong figures to inflate or deflate profits, assets and liabilities, so the statements fail to show a true and fair view.
- **Bias and judgement:** choice of depreciation and inventory methods introduces subjectivity.
- **Historical cost and money measurement:** price-level changes and qualitative factors (quality of management, ethics) are not reflected.
- Accounting alone cannot ensure ethics; it must be supported by independent audit, audit committees, strong internal controls, whistle-blower policies and regulation.

Example

In the Satyam Computer Services case (2009) the promoter admitted to inflating cash and bank balances and profits by over ₹7,000 crore through falsified accounts. The fraud showed how manipulated accounting destroys transparency; it led to stricter disclosure norms, the Companies Act 2013 provisions on auditor rotation and independent directors, and India's move to Ind AS (IFRS-converged) reporting. Conversely, companies that publish detailed, audited accounts (e.g. Infosys reporting under both Indian and US GAAP) gain investor trust.

4	Analyze how the Going Concern Concept influences depreciation and asset valuation. Source: Unit I SEE Feb/Mar 2026, Q2b	06	2	3
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Going concern assumption: the enterprise is viewed as continuing in operation for the foreseeable future, with neither the intention nor the necessity of liquidation or of materially curtailing its scale of operations.

Influence on depreciation and asset valuation

- **Assets are valued at historical cost less depreciation, not at break-up (realisable) value.** Because the business will continue to use its fixed assets, they are shown at book value (cost less accumulated depreciation) and not at what they would fetch if sold today.
- **Depreciation is charged over the useful life:** the cost of a fixed asset is allocated to the accounting periods that benefit from its use. The purpose of depreciation is cost allocation, not bringing the asset to market value; this is meaningful only if the business continues.
- **Classification into current and fixed assets** (and short-term and long-term liabilities) is possible only because the business is expected to continue.
- **Unused resources are shown as unexpired costs** (e.g. prepaid expenses, unexpired insurance) to be charged in future periods, not written off.
- **If the going concern assumption is not valid** (liquidation is expected), assets are revalued at net realisable (break-up) value, depreciation schedules become irrelevant, and the fact must be disclosed with reasons.

Example: a machine costing ₹10,00,000 with a 10-year life is shown at ₹8,00,000 after two years of straight-line depreciation, even though its resale value may be only ₹5,00,000, because the firm will continue to use it.

5	Write a note on International Financial Reporting Standards. Source: Unit I CIE-I, 26/11/2024	05	2	1
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International Financial Reporting Standards (IFRS) are a single set of high quality, understandable, enforceable and globally accepted accounting standards issued by the International Accounting Standards Board (IASB), the standard-setting body of the IFRS Foundation.

- **Background:** the International Accounting Standards Committee (IASC), set up in 1973, issued International Accounting Standards (IAS 1 to 41). From 2001 the IASB issues standards as IFRS and has adopted the earlier IAS (e.g. IAS 1 Presentation of Financial Statements, IAS 2 Inventories, IAS 7 Cash Flows; IFRS 1 First-time adoption, IFRS 8 Operating segments, IFRS 9 Financial instruments).
- **Objective:** convergence, so that financial statements prepared anywhere are comparable and transparent; the IFRS Interpretations Committee clarifies debatable issues.
- **Arguments in favour:** growth of international business, globalisation of capital markets, comparability for investors, lower reporting burden for multinational companies, ready-made standards for developing countries.
- **Difficulties:** nationalism, different economic and legal environments, diverse tax and corporate laws, and gaps between developed and developing countries.
- **India:** has converged with IFRS through Indian Accounting Standards (Ind AS), mandatory for listed and large companies since 2016–17.

6	Review the Golden Rules of Accounting and illustrate each category with necessary examples. (Discuss the principles of debit and credit in journalising transactions and how they apply to different types of accounts; explain the rules for journalising with appropriate illustration.) Source: Unit I CIE-I, 07/11/2025 (10 M); CIE-I, 26/11/2024, Q4b (5 M); SEE Feb/Mar 2025, Q3a (4 M)	10	2	1
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Debit means entering an amount on the left side of an account and credit means entering it on the right side. Whether a debit or credit represents an increase or a decrease depends on the nature of the account. The rules (golden rules of accounting) are:

Traditional approach (personal, real and nominal accounts)

Type of account	Meaning	Golden rule	Example
Personal account	Relates to natural persons (Ram), artificial persons (Ram & Co., bank) and representative persons (outstanding salary, prepaid rent).	Debit the receiver, credit the giver.	Goods sold to Ram on credit: Ram's A/c Dr.
Real account	Relates to tangible assets (land, cash, furniture) and intangible assets (goodwill, patents).	Debit what comes in, credit what goes out.	Furniture bought for cash: Furniture A/c Dr., To Cash A/c
Nominal account	Relates to expenses, losses, incomes and gains.	Debit all expenses and losses, credit all incomes and gains.	Rent paid: Rent A/c Dr.; commission received: Commission A/c Cr.

Modern (accounting equation) approach

Type of account	Rule	Example
Assets	Debit the increase, credit the decrease	Machinery purchased: Machinery A/c Dr.
Liabilities	Debit the decrease, credit the increase	Loan taken from bank: Bank Loan A/c Cr.
Capital	Debit the decrease, credit the increase	Capital introduced: Capital A/c Cr.; drawings: Drawings A/c Dr.
Revenue	Debit the decrease, credit the increase	Interest received: Interest A/c Cr.
Expenses	Debit the increase, credit the decrease	Wages paid: Wages A/c Dr.

Illustration (journalising)

Journal

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
1 Apr	Cash A/c Dr. To Capital A/c (Being capital introduced: cash is real, comes in; capital is personal, owner is giver)		50,000	50,000
5 Apr	Purchases A/c Dr. To Mohan's A/c (Being goods bought on credit: purchases is an expense; Mohan is the giver)		12,000	12,000
10 Apr	Sita's A/c Dr. To Sales A/c (Being goods sold on credit: Sita is the receiver; sales is income)		9,000	9,000
15 Apr	Rent A/c Dr. To Cash A/c (Being rent paid: expense debited; cash goes out)		3,000	3,000
	Total		74,000	74,000

Steps in journalising: identify the accounts involved, find their nature, apply the rule of debit and credit to each, and record the debit account (with "Dr."), the credit account (with "To") and a narration.

7	The following is a list of various accounts. State the nature of each account (personal, real or nominal) and also which account will be debited and which account will be credited (use a tabular column): Wages outstanding, Capital introduced, Cartage paid, Prepaid salary, Rent outstanding, Bank overdraft, Discount allowed, Goods returned by buyer, Drawings by proprietor, Commission received. Source: Unit I CIE-I, 07/11/2025	10	3	3
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Item	Account debited (nature)	Account credited (nature)	Rule applied
Wages outstanding	Wages A/c (Nominal)	Outstanding Wages A/c (Personal, representative)	Debit expense; credit the giver
Capital introduced	Cash/Bank A/c (Real)	Capital A/c (Personal)	Debit what comes in; credit the giver
Cartage paid	Cartage A/c (Nominal)	Cash A/c (Real)	Debit expense; credit what goes out
Prepaid salary	Prepaid Salary A/c (Personal, representative)	Salary A/c (Nominal)	Debit the receiver; credit (reduce) expense
Rent outstanding	Rent A/c (Nominal)	Outstanding Rent A/c (Personal, representative)	Debit expense; credit the giver
Bank overdraft (cash withdrawn on overdraft)	Cash A/c (Real)	Bank Overdraft A/c (Personal)	Debit what comes in; credit the giver
Discount allowed	Discount Allowed A/c (Nominal)	Debtor's A/c (Personal)	Debit loss; credit the giver
Goods returned by buyer	Sales Returns (Returns Inward) A/c (Nominal)	Customer's A/c (Personal)	Debit (reduce) income; credit the giver
Drawings by proprietor	Drawings A/c (Personal)	Cash A/c (Real)	Debit the receiver; credit what goes out
Commission received	Cash A/c (Real)	Commission Received A/c (Nominal)	Debit what comes in; credit income

8	Discuss how zero-based budgeting differs from traditional budgeting approaches. What are the benefits and limitations of adopting a zero-based budgeting system? Source: Unit I CIE-I, 26/11/2024	10	2	1
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Zero-based budgeting (ZBB)

Zero-based budgeting is a method of budgeting in which every activity and every item of expenditure must be justified afresh from a base of zero for each budget period, as if the activity were being started for the first time. Activities are broken into **decision packages**, which are evaluated and ranked by cost and benefit; resources are allocated to the packages in order of priority until the funds are exhausted.

ZBB versus traditional (incremental) budgeting

Basis	Traditional (incremental) budgeting	Zero-based budgeting
Starting point	Previous year's budget or actuals, adjusted for inflation and expected changes	Zero; nothing is taken for granted
Justification	Only the increase over last year is justified	Every rupee of every activity is justified
Focus	Inputs and past spending	Outputs, objectives and cost-benefit of each activity
Unproductive activities	Tend to continue year after year	Identified and eliminated
Effort and time	Simple and quick	Time-consuming and costly
Suitability	Stable operations, direct costs	Service and support departments, government, discretionary costs

Benefits

- Eliminates wasteful and obsolete activities; resources go to high-priority activities.
- Increases cost consciousness and efficiency of managers.
- Links budgets to organisational objectives and helps in setting priorities.
- Encourages managers to look for alternative, cheaper ways of performing activities.
- Useful when funds are scarce and cost reduction is required.

Limitations

- Time-consuming and costly; large volume of paperwork for decision packages.
- Ranking of decision packages involves subjective judgement and can cause conflicts.
- Managers need training; there may be resistance from staff.
- Difficult to apply to activities whose output cannot be measured.
- Short-term focus may cut long-term essential activities such as research and training.

9	Briefly describe how budgeting helps in cost control and decision-making. Also mention two types of budgets commonly used in organizations. Source: Unit I SEE Feb/Mar 2025, Q2b	06	3	1
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A **budget** is a quantitative plan of action expressed in money (and physical units) for a future period. Budgeting helps in:

- **Cost control:** actual costs are compared with budgeted costs; variances are analysed and corrective action is taken (budgetary control). Each department head is responsible for the costs in his budget.
- **Planning and coordination:** sales, production, purchases and cash are planned together, so that activities of all departments are coordinated towards common goals.
- **Decision-making:** budgets show the expected profit, cash requirement and resource needs; management can decide on pricing, product mix, borrowing and capital expenditure in advance.
- **Motivation and performance evaluation:** budgets set targets and provide standards against which performance is measured.

Two commonly used budgets: (1) **Sales budget** (forecast of sales quantity and value, the starting point of all budgets); (2) **Cash budget** (estimated cash receipts and payments, showing surplus or shortage of cash). Others: production budget, materials budget, flexible budget, master budget and capital expenditure budget.

10	Enumerate the objectives of Cost Accounting. Source: Unit I CIE-II, 16/12/2025, Q2a	05	2	3
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- (1) **Ascertainment of cost:** to find the cost of each product, job, process, service or department (cost per unit) by recording and analysing material, labour and overhead costs.
- (2) **Fixation of selling price:** to provide cost data as the basis for fixing selling prices and quotations.
- (3) **Cost control and cost reduction:** to control costs through budgets, standard costing and variance analysis, and to reduce costs by eliminating waste.
- (4) **Ascertainment of profitability:** to show the profit or loss of each product, job or department so that unprofitable activities can be identified.
- (5) **Aid to management decisions:** to supply information for decisions such as make or buy, accept or reject an order, shutdown or continue, and choice of product mix.
- (6) **Valuation of inventory:** to value work in progress and finished goods for the financial statements.
- (7) **Planning and budgeting:** to provide data for preparing budgets and setting standards.

11	Financial literacy is very important for everyone, given the road map India has chosen to grow, and there are several challenges on the ground in providing it. Conceptualize a framework which uses students with both engineering and finance knowledge and problem-solving skills to provide financial knowledge to students between 15 and 19 years of age, following the design-thinking flow. Comment on the novelty you want to bring from your point of view. Source: Unit I CIE-I, 07/11/2025	10	4	3
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Using the design-thinking flow (Empathise → Define → Ideate → Prototype → Test), a peer-led programme called “FinWise Youth” can be designed.

Stage	Application
Empathise	Survey and interview 15–19-year-olds, parents and teachers in urban and rural schools; observe how students handle pocket money, UPI payments and online shopping; identify fears and misconceptions (credit cards, loan apps, scams).
Define	Problem statement: “Students aged 15–19 use digital money daily but lack practical skills in budgeting, saving, investing and avoiding fraud, and conventional lectures do not engage them.”
Ideate	Engineering-and-finance student volunteers brainstorm: gamified budgeting app, simulated stock-market league, UPI-fraud escape room, short regional-language videos, a “first salary” role-play, school finance clubs.
Prototype	Build a mobile app with a virtual wallet (income, expenses, goals), weekly challenges and a simple dashboard; prepare a 6-session school module: budgeting, banking and UPI, compound interest and SIPs, insurance, credit and loans, scams and consumer rights.
Test	Pilot in 5 schools; measure knowledge with pre/post quizzes, track app usage and savings goals; collect feedback and iterate.
Scale	Partner with banks, NISM/RBI financial-literacy initiatives and college NSS/IIC cells; train student ambassadors; certify participants.

Novelty from my point of view

- **Peer teaching** by near-age engineering students makes the content relatable.
- **Gamification with real-life simulations** (virtual salary, EMIs, inflation shocks) turns abstract concepts into experience.
- **Data-driven personalisation:** the app adapts lessons to each student’s spending pattern.
- **Regional-language, offline-capable content** reaches students in tier-2 and tier-3 towns.
- **Fraud-awareness module** built on real UPI and loan-app scam cases.

12	Distinguish between the single-entry and double-entry systems of book-keeping.	05	2	1
Source: Unit II CIE-I, 26/11/2024, Q3a (5 M); SEE Feb/Mar 2025, Q1.3 (2 M)				

Basis	Single-entry system	Double-entry system
Meaning	Incomplete system; only one aspect of some transactions is recorded	Both aspects (debit and credit) of every transaction are recorded
Accounts kept	Usually only cash book and personal accounts	Personal, real and nominal accounts
Trial balance	Cannot be prepared	Can be prepared to check arithmetical accuracy
Profit	Estimated by comparing capital at two dates (statement of affairs)	Ascertained accurately by Trading and P&L Account
Financial position	Balance Sheet cannot be prepared accurately	Accurate Balance Sheet is prepared
Detection of errors and fraud	Difficult	Easier through checks and trial balance
Legal acceptance	Not accepted for companies and for tax in many cases	Scientific system, legally accepted
Suitability	Small traders and sole proprietors	All types of organisations

13	Explain the process of posting from Journal to Ledger.	04	2	2
Source: Unit II SEE Feb/Mar 2025, Q4a				

Posting is the process of transferring transactions recorded in the books of original entry (Journal) to the concerned accounts opened in the Ledger. It may be done daily, weekly, fortnightly or monthly.

For the account debited in the journal entry

- (1) Open the page of the account in the ledger with the help of the index.
- (2) Enter the date of the transaction in the date column on the debit side.
- (3) Write "To (name of the account credited)" in the particulars column.
- (4) Enter the journal page number in the folio column of the ledger and the ledger page number in the L.F. column of the journal.
- (5) Enter the amount in the amount column on the debit side.

For the account credited in the journal entry

Follow the same steps on the credit side of that account, writing "By (name of the account debited)".

Example: Cash A/c Dr. ₹950 To Mohan ₹950 is posted as "To Mohan 950" on the debit side of Cash Account and "By Cash A/c 950" on the credit side of Mohan's Account.

14	Why is the ledger known as the principal book of accounts? Can the profit of the business and its financial position be known without maintaining a ledger?	08	1	3
Source: Unit II SEE Feb/Mar 2026, Q4b				

Why the ledger is the principal book of accounts

- A ledger is the principal book which contains **all the accounts** (assets, liabilities, capital, revenue and expenses) to which the transactions recorded in the books of original entry are transferred.
- It is the **book of final entry**: the ultimate destination of all transactions, and a permanent record that is referred to most frequently.
- It gives complete information about each account in one place: the main items of revenue and expenses, the assets and their values, and the liabilities and their amounts.
- The **balances of ledger accounts** are used to prepare the trial balance and the final accounts (Trading and P&L Account and Balance Sheet).

Can profit and financial position be known without a ledger?

No, not accurately. The journal records transactions date-wise, but the effect on each item (total sales, total expenses,

cash balance, amount due from each debtor) is known only after classifying them in ledger accounts and balancing them. Without the ledger a trial balance cannot be prepared, so the Trading and Profit & Loss Account (financial performance) and the Balance Sheet (financial position) cannot be drawn up. At best, under an incomplete (single-entry) system, profit can only be estimated by comparing the capital at two dates through statements of affairs, which is neither accurate nor reliable.

15	Explain why a Trial Balance is prepared and state its limitations. Source: Unit II SEE Feb/Mar 2026, Q5b	08	1	1
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Why a trial balance is prepared

- (1) **To check the arithmetical accuracy** of the books: under double entry, total debits must equal total credits; agreement shows that journalising, posting, totalling and balancing are arithmetically correct.
- (2) **To locate errors:** disagreement indicates errors such as one-sided posting, wrong totalling or wrong balancing.
- (3) **To provide a summary of ledger balances** on one sheet, which is the basis for preparing the Trading and Profit & Loss Account and the Balance Sheet.
- (4) **To facilitate analysis and comparison** of accounts from period to period.

Limitations of the trial balance

Agreement of the trial balance is not conclusive proof of accuracy, because some errors do not affect it:

- **Errors of omission:** a transaction completely omitted from the books.
- **Errors of commission:** posting to the wrong account of the same class (e.g. to Ram instead of Shyam).
- **Errors of principle:** wrong classification, e.g. purchase of machinery debited to Purchases A/c.
- **Compensating errors:** one error cancels another of the same amount.
- **Errors of original entry:** a wrong amount recorded in the journal and posted on both sides.
- It cannot be prepared under the single-entry system, and it is only a list, not part of the double-entry accounts.

16	Explain the steps to rectify the imbalance in a trial balance. Source: Unit II SEE Feb/Mar 2026, Q3b	10	4	3
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When the trial balance does not agree, errors that affect one side only must be located and corrected. The steps are:

- (1) **Check the totals** of the debit and credit columns of the trial balance again.
- (2) **Find the difference** and look for an account whose balance equals the difference or half of it (a balance written on the wrong side doubles the difference).
- (3) **Check that every ledger balance is included** and placed in the correct column (assets and expenses debit; liabilities, capital and incomes credit); check cash and bank balances with the cash book.
- (4) **Re-check the balancing** of each ledger account (casting and carrying forward).
- (5) **Check the posting** from the journal and subsidiary books to the ledger: amount, side and account, ticking each item; check totals of subsidiary books.
- (6) **Check the casting of the journal and subsidiary books.**
- (7) **Divide the difference by 9:** if it divides exactly, a transposition (e.g. 56 written as 65) or slide error is likely.
- (8) **Open a Suspense Account** for the difference if the error cannot be found and the final accounts must be prepared; the trial balance is then made to agree temporarily.
- (9) **Rectify the errors** when found by passing rectifying journal entries: one-sided errors through the Suspense Account (e.g. Sales A/c short credited by ₹500: Suspense A/c Dr. To Sales A/c), and two-sided errors directly between the accounts concerned. When all errors are rectified, the Suspense Account closes automatically.

17	Journalise the business transactions during the month of January 2024. Jan 1: Owner invested ₹ 50,000 cash in the business. Jan 3: Purchased office furniture for ₹ 10,000, paid in cash. Jan 5: Bought goods worth ₹ 20,000 on credit from M/s XYZ Traders. Jan 10: Paid ₹ 5,000 to M/s XYZ Traders as partial payment. Jan 15: Sold goods for ₹ 15,000 for cash. Jan 20: Paid office rent of ₹ 3,000 in cash. Source: Unit II CIE-I, 26/11/2024, Q4a	05	3	2
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Journal for January 2024

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
2024 Jan 1	Cash A/c To Capital A/c <i>(Being capital introduced by the owner in cash)</i>	Dr.	50,000	50,000
Jan 3	Office Furniture A/c To Cash A/c <i>(Being office furniture purchased for cash)</i>	Dr.	10,000	10,000
Jan 5	Purchases A/c To M/s XYZ Traders <i>(Being goods purchased on credit from M/s XYZ Traders)</i>	Dr.	20,000	20,000
Jan 10	M/s XYZ Traders To Cash A/c <i>(Being part payment made to M/s XYZ Traders)</i>	Dr.	5,000	5,000
Jan 15	Cash A/c To Sales A/c <i>(Being goods sold for cash)</i>	Dr.	15,000	15,000
Jan 20	Office Rent A/c To Cash A/c <i>(Being office rent paid in cash)</i>	Dr.	3,000	3,000
	Total		1,03,000	1,03,000

18	Journalise the business transactions during the month of February. Feb 2: Started business with cash ₹ 1,00,000 and machinery ₹ 50,000. Feb 5: Opened a bank account by depositing ₹ 30,000. Feb 10: Purchased goods for ₹ 40,000 on credit from M/s ABC Traders. Feb 12: Paid ₹ 5,000 for office rent in cash. Feb 17: Sold goods for ₹ 25,000 on credit to M/s XYZ Ltd. Feb 20: Paid ₹ 10,000 to M/s ABC Traders. Feb 22: Purchased office supplies for ₹ 2,000 in cash. Feb 24: Received ₹ 20,000 from M/s XYZ Ltd. Feb 27: Paid wages ₹ 4,000 in cash. Feb 28: Withdrew ₹ 3,000 for personal use. Source: Unit II CIE-I, 26/11/2024, Q5	10	3	2
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Journal for February

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
Feb 2	Cash A/c Machinery A/c To Capital A/c <i>(Being business started with cash and machinery)</i>	Dr. Dr.	1,00,000 50,000	1,50,000

Feb 5	Bank A/c To Cash A/c <i>(Being bank account opened by depositing cash)</i>	Dr.		30,000	30,000
Feb 10	Purchases A/c To M/s ABC Traders <i>(Being goods purchased on credit)</i>	Dr.		40,000	40,000
Feb 12	Office Rent A/c To Cash A/c <i>(Being office rent paid in cash)</i>	Dr.		5,000	5,000
Feb 17	M/s XYZ Ltd. To Sales A/c <i>(Being goods sold on credit)</i>	Dr.		25,000	25,000
Feb 20	M/s ABC Traders To Cash A/c <i>(Being payment made to M/s ABC Traders)</i>	Dr.		10,000	10,000
Feb 22	Office Supplies (Stationery) A/c To Cash A/c <i>(Being office supplies purchased for cash)</i>	Dr.		2,000	2,000
Feb 24	Cash A/c To M/s XYZ Ltd. <i>(Being cash received from M/s XYZ Ltd.)</i>	Dr.		20,000	20,000
Feb 27	Wages A/c To Cash A/c <i>(Being wages paid in cash)</i>	Dr.		4,000	4,000
Feb 28	Drawings A/c To Cash A/c <i>(Being cash withdrawn for personal use)</i>	Dr.		3,000	3,000
	Total			2,89,000	2,89,000

19	Assume you are starting an e-commerce website to sell a product of your choice. Identify and list any 10 financial transactions that you might encounter in the first month of starting the business and pass them in the journal. Source: Unit II CIE-I, 07/11/2025	10	4	2
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Business chosen: “TrendyThreads”, an e-commerce website selling printed T-shirts. Transactions in the first month (April):

Journal of TrendyThreads (April)

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
Apr 1	Bank A/c To Capital A/c <i>(Being capital introduced by the proprietor into the business bank account)</i>	Dr.	3,00,000	3,00,000
Apr 2	Website Development A/c To Bank A/c <i>(Being website designed and hosted; paid by bank transfer)</i>	Dr.	40,000	40,000
Apr 3	Computer Equipment A/c To Bank A/c <i>(Being laptop and printer purchased)</i>	Dr.	60,000	60,000

Apr 5	Purchases A/c To Sri Textiles <i>(Being plain T-shirts and inks purchased on credit)</i>	Dr.		80,000	80,000
Apr 8	Advertisement A/c To Bank A/c <i>(Being social-media advertisement paid online)</i>	Dr.		15,000	15,000
Apr 12	Payment Gateway Receivable A/c To Sales A/c <i>(Being online sales collected through the payment gateway)</i>	Dr.		45,000	45,000
Apr 14	Bank A/c Gateway Charges A/c To Payment Gateway Receivable A/c <i>(Being gateway settled sales after deducting 2% charges)</i>	Dr. Dr.		44,100 900	45,000
Apr 18	Courier Charges A/c To Bank A/c <i>(Being delivery charges paid to courier partner)</i>	Dr.		6,000	6,000
Apr 25	Sri Textiles To Bank A/c <i>(Being part payment made to supplier)</i>	Dr.		50,000	50,000
Apr 30	Rent A/c To Outstanding Rent A/c <i>(Being warehouse rent for April due but not paid)</i>	Dr.		10,000	10,000
	Total			6,51,000	6,51,000

20	Give the journal entries for the following transactions:	10	3	3																																	
<table><tr><th>Date</th><th>Particulars</th><th>₹</th></tr><tr><td>April 1</td><td>Business started with cash</td><td>10,000</td></tr><tr><td>April 3</td><td>Deposited in SBI</td><td>6,000</td></tr><tr><td>April 5</td><td>Bought goods from Mahavir</td><td>1,500</td></tr><tr><td>April 9</td><td>Sold goods to Gupta</td><td>650</td></tr><tr><td>April 12</td><td>Paid cash to Mahavir</td><td>990</td></tr><tr><td>April 15</td><td>Cash received from Gupta</td><td>625</td></tr><tr><td>April 20</td><td>Furniture purchased</td><td>300</td></tr><tr><td>April 22</td><td>Drew cash from bank for personal use</td><td>600</td></tr><tr><td>April 30</td><td>Paid rent by cheque</td><td>200</td></tr><tr><td>April 30</td><td>Salary due to clerk</td><td>300</td></tr></table>					Date	Particulars	₹	April 1	Business started with cash	10,000	April 3	Deposited in SBI	6,000	April 5	Bought goods from Mahavir	1,500	April 9	Sold goods to Gupta	650	April 12	Paid cash to Mahavir	990	April 15	Cash received from Gupta	625	April 20	Furniture purchased	300	April 22	Drew cash from bank for personal use	600	April 30	Paid rent by cheque	200	April 30	Salary due to clerk	300
Date	Particulars	₹																																			
April 1	Business started with cash	10,000																																			
April 3	Deposited in SBI	6,000																																			
April 5	Bought goods from Mahavir	1,500																																			
April 9	Sold goods to Gupta	650																																			
April 12	Paid cash to Mahavir	990																																			
April 15	Cash received from Gupta	625																																			
April 20	Furniture purchased	300																																			
April 22	Drew cash from bank for personal use	600																																			
April 30	Paid rent by cheque	200																																			
April 30	Salary due to clerk	300																																			
Also prepare the necessary ledger accounts for the cash and capital accounts only.																																					
Source: Unit II CIE-I, 07/11/2025																																					

Journal				
Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
Apr 1	Cash A/c Dr. To Capital A/c (Being business started with cash)		10,000	10,000
Apr 3	Bank (SBI) A/c Dr. To Cash A/c (Being cash deposited into SBI)		6,000	6,000
Apr 5	Purchases A/c Dr. To Mahavir's A/c (Being goods bought from Mahavir on credit)		1,500	1,500
Apr 9	Gupta's A/c Dr. To Sales A/c (Being goods sold to Gupta on credit)		650	650
Apr 12	Mahavir's A/c Dr. To Cash A/c (Being cash paid to Mahavir)		990	990
Apr 15	Cash A/c Dr. To Gupta's A/c (Being cash received from Gupta)		625	625
Apr 20	Furniture A/c Dr. To Cash A/c (Being furniture purchased for cash)		300	300
Apr 22	Drawings A/c Dr. To Bank (SBI) A/c (Being cash withdrawn from bank for personal use)		600	600
Apr 30	Rent A/c Dr. To Bank (SBI) A/c (Being rent paid by cheque)		200	200
Apr 30	Salary A/c Dr. To Outstanding Salary A/c (Being salary due to clerk not yet paid)		300	300
	Total		21,165	21,165

Ledger accounts

Dr.			Cash Account			Cr.		
Date	Particulars	₹	Date	Particulars	₹			
Apr 1	To Capital A/c	10,000	Apr 3	By Bank A/c	6,000			
Apr 15	To Gupta's A/c	625	Apr 12	By Mahavir's A/c	990			
			Apr 20	By Furniture A/c	300			
				By Balance c/d	3,335			
		10,625			10,625			
	To Balance b/d	3,335						

Dr.			Capital Account			Cr.		
Date	Particulars	₹	Date	Particulars	₹			
	To Balance c/d	10,000	Apr 1	By Cash A/c	10,000			
		10,000			10,000			
				By Balance b/d	10,000			

Answer: Cash Account shows a debit balance of ₹3,335 and Capital Account a credit balance of ₹10,000 on 30 April.

21	Journalise the following transactions in the books of a trader. Debit balances on Jan 1, 1999: Cash in hand ₹ 8,000, Cash at Bank ₹ 25,000, Stock of goods ₹ 20,000, Furniture ₹ 2,000, Building ₹ 10,000; Sundry Debtors: Vijay ₹ 2,000, Anil ₹ 1,000, Madhu ₹ 2,000. Credit balances on Jan 1, 1999: Sundry Creditor Anand ₹ 5,000; Loan from Bablu ₹ 10,000. Further transactions in January 1999: 1. Jan 1: Purchased goods worth ₹ 5,000 for cash less 20% trade discount and 5% cash discount. 2. Jan 4: Received ₹ 1,980 from Vijay and allowed him ₹ 20 as discount. 3. Jan 6: Purchased goods from Bharath ₹ 5,000. 4. Jan 8: Purchased plant from Mukesh for ₹ 5,000 and paid ₹ 100 cartage and ₹ 200 installation charges. 5. Jan 12: Sold goods to Rahim on credit ₹ 600. 6. Jan 15: Rahim became insolvent and could pay only 50 paise in a rupee. 7. Jan 18: Sold goods to Ram for cash ₹ 1,000. 8. Jan 20: Paid salary to Ratan ₹ 2,000. 9. Jan 21: Paid Anand ₹ 4,800 in full settlement. 10. Jan 26: Interest received from Madhu ₹ 200. 11. Jan 28: Paid to Bablu interest on loan ₹ 500. 12. Jan 31: Sold goods for cash ₹ 500. 13. Jan 31: Withdrew goods from business for personal use ₹ 200. Source: Unit II SEE Feb/Mar 2025, Q3b	12	4	2
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Working for Jan 1 purchase: list price ₹5,000 – trade discount 20% (₹1,000) = ₹4,000; cash discount 5% of ₹4,000 = ₹200; cash paid = ₹3,800. Trade discount is not recorded in the books. **Capital** on Jan 1 = total assets ₹70,000 – liabilities ₹15,000 = ₹55,000.

Journal of the trader (January 1999)

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
1999 Jan 1	Cash A/c Dr. Bank A/c Dr. Stock A/c Dr. Furniture A/c Dr. Building A/c Dr. Vijay Dr. Anil Dr. Madhu Dr. To Anand To Loan from Bablu A/c To Capital A/c (balancing figure) <i>(Being opening balances brought forward)</i>		8,000 25,000 20,000 2,000 10,000 2,000 1,000 2,000	5,000 10,000 55,000
Jan 1	Purchases A/c Dr. To Cash A/c To Discount Received A/c <i>(Being goods purchased for cash less 20% trade discount and 5% cash discount)</i>		4,000	3,800 200
Jan 4	Cash A/c Dr. Discount Allowed A/c Dr. To Vijay <i>(Being cash received from Vijay and discount allowed)</i>		1,980 20	2,000
Jan 6	Purchases A/c Dr. To Bharath <i>(Being goods purchased on credit)</i>		5,000	5,000
Jan 8	Plant A/c Dr. To Mukesh To Cash A/c <i>(Being plant purchased on credit; cartage and installation paid in cash)</i>		5,300	5,000 300
Jan 12	Rahim Dr. To Sales A/c <i>(Being goods sold on credit)</i>		600	600
Jan 15	Cash A/c Dr. Bad Debts A/c Dr. To Rahim <i>(Being Rahim became insolvent; 50 paise in a rupee received)</i>		300 300	600
Jan 18	Cash A/c Dr. To Sales A/c <i>(Being goods sold to Ram for cash)</i>		1,000	1,000
Jan 20	Salary A/c Dr. To Cash A/c <i>(Being salary paid to Ratan)</i>		2,000	2,000
Jan 21	Anand Dr. To Cash A/c To Discount Received A/c <i>(Being Anand paid in full settlement)</i>		5,000	4,800 200

Jan 26	Cash A/c To Interest Received A/c <i>(Being interest received from Madhu)</i>	Dr.		200	200
Jan 28	Interest on Loan A/c To Cash A/c <i>(Being interest on loan paid to Bablu)</i>	Dr.		500	500
Jan 31	Cash A/c To Sales A/c <i>(Being goods sold for cash)</i>	Dr.		500	500
Jan 31	Drawings A/c To Purchases A/c <i>(Being goods withdrawn for personal use)</i>	Dr.		200	200
	Total			96,900	96,900

22	Journalise the following transactions, post them in the ledger and balance the accounts on 31st January: Ram started business with capital of ₹ 10,000; purchased goods from Mohan on credit ₹ 2,000; paid cash to Mohan ₹ 1,000; sold goods to Suresh ₹ 2,000; received cash from Suresh ₹ 3,000; further purchased goods from Mohan ₹ 2,000; paid cash to Mohan ₹ 1,000; further sold goods to Suresh ₹ 2,000; received cash from Suresh ₹ 1,000. Source: Unit II SEE Feb/Mar 2025, Q4b	12	4	2
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Dates are not given in the question; the transactions are recorded in the order given, on dates assumed within January.

Journal of Ram

Date	Particulars	L.F.	Dr. (₹)	Cr. (₹)
Jan 1	Cash A/c To Capital A/c <i>(Being business started with cash)</i>	Dr.	10,000	10,000
Jan 3	Purchases A/c To Mohan <i>(Being goods purchased on credit)</i>	Dr.	2,000	2,000
Jan 5	Mohan To Cash A/c <i>(Being cash paid to Mohan)</i>	Dr.	1,000	1,000
Jan 8	Suresh To Sales A/c <i>(Being goods sold on credit)</i>	Dr.	2,000	2,000
Jan 12	Cash A/c To Suresh <i>(Being cash received from Suresh)</i>	Dr.	3,000	3,000
Jan 15	Purchases A/c To Mohan <i>(Being goods purchased on credit)</i>	Dr.	2,000	2,000
Jan 20	Mohan To Cash A/c <i>(Being cash paid to Mohan)</i>	Dr.	1,000	1,000
Jan 25	Suresh To Sales A/c <i>(Being goods sold on credit)</i>	Dr.	2,000	2,000

Jan 31	Cash A/c To Suresh <i>(Being cash received from Suresh)</i>	Dr.		1,000	1,000
	Total			24,000	24,000

Ledger accounts (balanced on 31st January)Dr. **Cash A/c** Cr.

Date	Particulars	₹	Date	Particulars	₹
Jan 1	To Capital A/c	10,000	Jan 5	By Mohan	1,000
Jan 12	To Suresh	3,000	Jan 20	By Mohan	1,000
Jan 31	To Suresh	1,000		By Balance c/d	12,000
		14,000			14,000
	To Balance b/d	12,000			

Dr. **Capital A/c** Cr.

Date	Particulars	₹	Date	Particulars	₹
	To Balance c/d	10,000	Jan 1	By Cash A/c	10,000
		10,000			10,000
				By Balance b/d	10,000

Dr. **Purchases A/c** Cr.

Date	Particulars	₹	Date	Particulars	₹
Jan 3	To Mohan	2,000		By Balance c/d	4,000
Jan 15	To Mohan	2,000			
		4,000			4,000
	To Balance b/d	4,000			

Dr. **Sales A/c** Cr.

Date	Particulars	₹	Date	Particulars	₹
	To Balance c/d	4,000	Jan 8	By Suresh	2,000
			Jan 25	By Suresh	2,000
		4,000			4,000
				By Balance b/d	4,000

Dr. **Mohan's Account** Cr.

Date	Particulars	₹	Date	Particulars	₹
Jan 5	To Cash A/c	1,000	Jan 3	By Purchases A/c	2,000
Jan 20	To Cash A/c	1,000	Jan 15	By Purchases A/c	2,000
	To Balance c/d	2,000			
		4,000			4,000
				By Balance b/d	2,000

Dr. **Suresh's Account** Cr.

Date	Particulars	₹	Date	Particulars	₹
Jan 8	To Sales A/c	2,000	Jan 12	By Cash A/c	3,000
Jan 25	To Sales A/c	2,000	Jan 31	By Cash A/c	1,000
		4,000			4,000

Suresh's Account has a nil balance (debits ₹4,000 = credits ₹4,000).

Trial Balance as on 31st January

S. No.	Name of the Account	L.F.	Dr. (₹)	Cr. (₹)
1	Cash A/c		12,000	
2	Capital A/c			10,000
3	Purchases A/c		4,000	
4	Sales A/c			4,000

5	Mohan			2,000
	Total		16,000	16,000

Answer: Balances on 31 January: Cash ₹12,000 (Dr), Purchases ₹4,000 (Dr), Capital ₹10,000 (Cr), Sales ₹4,000 (Cr), Mohan ₹2,000 (Cr), Suresh nil. The trial balance agrees at ₹16,000.

23	The following are the ledger balances of a business as of December 31, 2024. Prepare a trial balance.	10	3	CO2																											
	<table><tr><th>Account</th><th>Amount (₹)</th><th>Type</th></tr><tr><td>Cash</td><td>50,000</td><td>Debit</td></tr><tr><td>Capital</td><td>1,50,000</td><td>Credit</td></tr><tr><td>Sales</td><td>2,00,000</td><td>Credit</td></tr><tr><td>Purchases</td><td>1,00,000</td><td>Debit</td></tr><tr><td>Furniture</td><td>25,000</td><td>Debit</td></tr><tr><td>Salaries</td><td>30,000</td><td>Debit</td></tr><tr><td>Accounts Receivable</td><td>45,000</td><td>Debit</td></tr><tr><td>Accounts Payable</td><td>40,000</td><td>Credit</td></tr></table>	Account	Amount (₹)	Type	Cash	50,000	Debit	Capital	1,50,000	Credit	Sales	2,00,000	Credit	Purchases	1,00,000	Debit	Furniture	25,000	Debit	Salaries	30,000	Debit	Accounts Receivable	45,000	Debit	Accounts Payable	40,000	Credit			
Account	Amount (₹)	Type																													
Cash	50,000	Debit																													
Capital	1,50,000	Credit																													
Sales	2,00,000	Credit																													
Purchases	1,00,000	Debit																													
Furniture	25,000	Debit																													
Salaries	30,000	Debit																													
Accounts Receivable	45,000	Debit																													
Accounts Payable	40,000	Credit																													
	Source: Unit II CIE-II, 08/01/2025																														

Assets and expenses have debit balances; capital, liabilities and incomes have credit balances.

Trial Balance as on 31st December 2024

S. No.	Name of the Account	L.F.	Dr. (₹)	Cr. (₹)
1	Cash A/c		50,000	
2	Purchases A/c		1,00,000	
3	Furniture A/c		25,000	
4	Salaries A/c		30,000	
5	Accounts Receivable (Debtors)		45,000	
6	Capital A/c			1,50,000
7	Sales A/c			2,00,000
8	Accounts Payable (Creditors)			40,000
9	Suspense A/c (difference)		1,40,000	
	Total		3,90,000	3,90,000

Total of debit balances = ₹2,50,000 and total of credit balances = ₹3,90,000. The ledger balances given do not agree; the difference of ₹1,40,000 is placed in a Suspense Account on the debit side until the errors or missing balances (for example, an omitted asset or expense balance) are located and rectified.

24	Prepare a Trial Balance from the following balances as on 31st March 2023.	10	3	2																						
<table><tr><th>Balances</th><th>₹</th></tr><tr><td>Cost of Goods Sold</td><td>5,20,000</td></tr><tr><td>Opening Stock</td><td>50,000</td></tr><tr><td>Closing Stock</td><td>50,000</td></tr><tr><td>Salary and Wages</td><td>50,000</td></tr><tr><td>Sales</td><td>8,00,000</td></tr><tr><td>Plant & Machinery</td><td>2,00,000</td></tr><tr><td>Drawings</td><td>50,000</td></tr><tr><td>Investment</td><td>4,30,000</td></tr><tr><td>Creditors</td><td>1,00,000</td></tr><tr><td>Capital</td><td>4,00,000</td></tr></table>					Balances	₹	Cost of Goods Sold	5,20,000	Opening Stock	50,000	Closing Stock	50,000	Salary and Wages	50,000	Sales	8,00,000	Plant & Machinery	2,00,000	Drawings	50,000	Investment	4,30,000	Creditors	1,00,000	Capital	4,00,000
Balances	₹																									
Cost of Goods Sold	5,20,000																									
Opening Stock	50,000																									
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Plant & Machinery	2,00,000																									
Drawings	50,000																									
Investment	4,30,000																									
Creditors	1,00,000																									
Capital	4,00,000																									
Source: Unit II CIE-II, 16/12/2025, Q3																										

When **Cost of Goods Sold** is given, opening stock and purchases have already been adjusted in it ($\text{COGS} = \text{Opening stock} + \text{Purchases} - \text{Closing stock}$). Therefore **opening stock is not shown separately**, while **closing stock** appears in the trial balance as an asset (debit).

Trial Balance as on 31st March 2023

S. No.	Name of the Account	L.F.	Dr. (₹)	Cr. (₹)
1	Cost of Goods Sold A/c		5,20,000	
2	Closing Stock A/c		50,000	
3	Salary and Wages A/c		50,000	
4	Plant & Machinery A/c		2,00,000	
5	Drawings A/c		50,000	
6	Investment A/c		4,30,000	
7	Sales A/c			8,00,000
8	Creditors A/c			1,00,000
9	Capital A/c			4,00,000
	Total		13,00,000	13,00,000

Answer: The trial balance agrees: total debits = total credits = ₹13,00,000.

25	From the following ledger balances, prepare a Trial Balance: Cash in Hand ₹ 6,000, Cash at Bank ₹ 22,000, Purchases ₹ 45,000, Sales ₹ 78,000, Furniture ₹ 15,000, Rent ₹ 5,000, Capital ₹ 60,000. Source: Unit II SEE Feb/Mar 2026, Q3a	06	2	3
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Trial Balance

S. No.	Name of the Account	L.F.	Dr. (₹)	Cr. (₹)
1	Cash in Hand		6,000	
2	Cash at Bank		22,000	
3	Purchases A/c		45,000	
4	Furniture A/c		15,000	
5	Rent A/c		5,000	
6	Sales A/c			78,000
7	Capital A/c			60,000
8	Suspense A/c (difference)		45,000	
	Total		1,38,000	1,38,000

Total debit balances = ₹93,000; total credit balances = ₹1,38,000. The balances given do not agree; the difference of ₹45,000 is shown in a Suspense Account (debit) until the error is located (an asset or expense balance such as closing stock or debtors appears to be missing from the list).

26	For the following balances, prepare a trial balance.			08	2	3	
		Particulars	₹	Particulars	₹		
		Sales	1,07,800	Capital	1,00,000		
		Sales Returns	2,800	Discount received	1,800		
		Purchases	62,400	Plant & Machinery	35,000		
		Purchase Returns	2,400	Bank overdraft	20,000		
		Opening Stock	15,000	Trade expenses	1,500		
		Wages	10,600	Furniture	5,000		
		Sundry Creditors	32,500	Loose Tools	3,200		
		Wages Outstanding	1,400	Insurance	500		
		Carriage outward	1,400	Drawings	3,000		
		Coal and Gas	2,500	Bank charges	500		
		Commission	1,000	Salaries	4,500		
		Factory Building	1,00,000	Plant depreciation	2,000		
		Sundry Debtors	15,000				
Source: Unit II SEE Feb/Mar 2026, Q4a							

The balances given are not arranged by nature, so each is classified first: assets, expenses, losses, drawings and sales returns are **debit** balances; capital, liabilities, incomes, gains and purchase returns are **credit** balances. Commission is taken as commission paid (an expense).

Trial Balance

S. No.	Name of the Account	L.F.	Dr. (₹)	Cr. (₹)
1	Purchases A/c		62,400	
2	Sales Returns A/c		2,800	
3	Opening Stock A/c		15,000	
4	Wages A/c		10,600	
5	Coal and Gas A/c		2,500	
6	Carriage Outward A/c		1,400	
7	Salaries A/c		4,500	
8	Insurance A/c		500	
9	Trade Expenses A/c		1,500	
10	Bank Charges A/c		500	
11	Commission (paid) A/c		1,000	
12	Plant Depreciation A/c		2,000	
13	Factory Building A/c		1,00,000	
14	Plant & Machinery A/c		35,000	
15	Furniture A/c		5,000	
16	Loose Tools A/c		3,200	
17	Sundry Debtors A/c		15,000	
18	Drawings A/c		3,000	
19	Capital A/c			1,00,000
20	Sales A/c			1,07,800
21	Purchase Returns A/c			2,400
22	Discount Received A/c			1,800
23	Sundry Creditors A/c			32,500
24	Bank Overdraft A/c			20,000
25	Wages Outstanding A/c			1,400
	Total		2,65,900	2,65,900

Answer: The trial balance agrees: total debits = total credits = ₹2,65,900.

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